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Dynamics in the Swedish Grocery Retail Industry

The current landscape, challenges and levers in
distribution for Swedish grocery retailers

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Marknadsdynamiken i svensk dagligvaruhandel

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Abstract

There is a significant transformation taking place in today's retail landscape with the increasing adoption of digital technologies in society. Customers are finding new purchasing habits and retailers are exploring different channels to serve customers in. Observations indicate that the industry is heading towards an omni-channel landscape where retailers aim to provide customers with a unified shopping experience across channels and touchpoints as e-commerce rapidly penetrates the market. Currently, all growth for durable goods is attributable to online sales in Sweden, yet Swedish online grocery retailing has been lagging and still only constitute 2 percent of the total market share.

A qualitative study was conducted to map out the challenges and levers for Swedish grocery retailers in distribution. Semi-structured interviews were carried out with 18 store managers from the three largest grocery store chains in Sweden. The study elicits a framework for firm controlled factors which define customer experience: price, promotion, merchandise, supply chain and location.

Keywords: Grocery retail, E-grocery, E-commerce, Distribution channels, Distribution challenges, Omni-channel, Brick and mortar, Click and Collect, Home Delivery



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Sammanfattning

Det sker en betydande omvandling i dagens detaljhandelslandskap. Konsumenter hittar nya köpvanor och återförsäljare undersöker olika kanaler för att betjäna kunder i. Iakttagelser indikerar att branschen är på väg mot ett omni-kanal landskap där återförsäljare söker att ge kunderna en enhetlig shoppingupplevelse genom alla försäljningskanaler. Idag är all tillväxt för sällanköpsvaror hänförlig till onlineförsäljning i Sverige, men den svenska dagligvaruhandeln på nätet har legat efter och utgör fortfarande bara 2 procent av den totala marknadsandelen.

En kvalitativ studie genomfördes för att kartlägga utmaningar och möjligheter i distribution för svenska dagligvaruhandlare. Semistrukturerade intervjuer genomfördes med 18 butikschefer från de tre största livsmedelskedjorna i Sverige. Studien använder ett ramverk som kapslar in faktorer som kan kontrolleras av företaget och som tillsammans formar kundupplevelsen: pris, kampanjer, sortiment, logistikkedja och plats.

Nyckelord: Dagligvaruhandel, E-dagligvaruhandel, E-handel, Distributionskanaler, Distributionsutmaningar, Omni-channel, Fysiska butiker, Click and Collect, Hemleverans

Table of contents

1 Introduction	12
1.1 Background	12
1.2 Digital transformation in the retail sector	13
1.3 Development of the Swedish grocery retail market	13
1.4 Grocery retail short term future	15
1.5 Multi-channel	16
1.6 Omni-channel	16
1.7 Customer steering	17
1.8 The purpose of the study	18
1.9 Delimitation	18
1.10 Significance of the study	18
1.11 Research question	18
2 Theory	19
2.1 Previous studies	19
2.1.1 Dynamics of grocery retail distribution	19
2.1.2 Challenges and levers in grocery retail distribution	20
2.2 Theoretical framework	22
2.2.1 Brick and mortar	23
2.2.2 Home delivery	23
2.2.3 Click-and-collect	23
2.2.4 Firm controlled factors	23
3 Method	25
3.1 Research perspective	25
3.2 Case study	25
3.3 Data collection	26
3.3.1 Semi-structured interviews	26
3.3.2 Pilot testing	27
3.4 Research quality	27
3.5 Research ethics	28
3.6 Sustainability	28
4 Empirical results	30
4.1 Interview participant overview	30

4.2 Empirical findings	31
4.2.1 Brick and mortar	31
4.2.2 Home delivery	33
4.2.3 Click-and-collect	37
5 Discussion	40
5.1 Brick and mortar	40
5.2 Home delivery	40
5.3 Click and collect	41
6 Conclusion	43
6.1 What are the current key challenges and levers in distribution as perceived by operational managers at the leading grocery retail chains in Sweden?	43
6.2 Limitations	44
6.3 Suggestions on future research	44
References	46
Appendix	50

List of figures

1.3-1 *Development and share of e-grocery sales in relation to total e-commerce retail sales* 15

1.3-2 *Development and share of e-commerce sales in relation to total retail sales* 15

List of tables

1.6	The different perspectives on operational parameters	18
4.1	Type of store where the interviewee works at	34

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1 Introduction

1.1 Background

The changing retail landscape

Customers look for seamless retail experiences and market trends indicate that customers are ready to pay for increasing convenience such as instant home deliveries, according to Lux Research (2016). However, the current retail landscape was initially not built for such purposes. Property investments and contract commitments have put traditional retailers at risk as they find it increasingly difficult to justify expensive rent costs for physical retail space. On top of that, cultural legacy within the organization is another factor that has slowed down the transformation according to Merriman, Raghuraman and Holloman (2018). The report states that above technology, it will foremost be culture that will decide which retailers prevail. The authors express their conviction that there is a fundamental shift that is awaiting retailers the upcoming years and how they should start adjusting by establishing a customer-centric approach to measuring organizational success.

If unable to adopt an agile and customer-centric work culture, major retailers are expected to face issues in the rising competition for customer convenience. Such a scenario and inability to shift may result in lost market shares and lead to unsustainable cost structures in the operational business in the long run, finally leading to closed down businesses. However, turning the coin around to observe the landscape from the other end of the service-spectrum presents other difficulties. Looking at the situation from the pure online perspective, it is clear that Zalando and other similar pure-online players are missing out on the physical convenience provided by established retailers, such as H&M and MQ. Touching back on the key words identified above, being customer-centric is not just about doing the things right, it is equally about doing the right things and providing value in a range of ways. Following the current shifts in the retail market, especially in Sweden, retailers seem to converge to a solution known for interacting with customers in an integrated way and by leveraging all possible channels, resulting in the recently popularized omni-model strategy. Being able to combine the vast array of channels is expected to lay foundation for next generation retail among others, according to a market report by McKinsey (2015).

There are a few dynamics and market conditions that are important to consider before going deeper into the subject. One important distinction to make regarding the dynamics is to define what is controllable and what is not. Incumbents can control firm-internal factors but firm-external factors such as online penetration rate cannot be managed. In grocery retail the penetration is currently ranging between 15-30% in major European market such as France, Germany and the United Kingdom and is expected to further increase the upcoming years, according to Centraal Bureau voor de Statistiek and Grant (2018). It is important to understand online penetration because that will define how market players will have to position themselves and how they will choose to distribute focus between the multiple channels they are currently operating.

1.2 Digital transformation in the retail sector

The increasing adoption of digital technologies in society has radically changed the retail industry and challenged well established business models of the past. While digitalization has had a presence in the retail sector ever since the emergence of the internet, it is just until recently the impact of the transformation is becoming increasingly visible (Hagberg, Sundstrom and Egels-Zandén, 2016). The impact of digitalization on the retail sector is not restricted to e-commerce and the transformation goes well beyond online shopping behaviour. While e-commerce may be a central part of digitalization there are important elements in digitalization which affect offline behavior as well.

Smartphones have become an important component of the retail environment (Shankar, Venkatesh, Hofacker and Naik, 2010) and have significantly facilitated the visible effects of digitalization. Mobile devices offer added functionality and features to the customer when shopping in a brick and mortar store – for example being able to retrieve additional product information which may lead to an offline purchase (Pauwels, Leeflang, Teerling and Huizingh, 2011). Mobile applications and devices are used by consumers to compare products, compare prices, evaluate products, evaluate ethical and environmental considerations, etc. which affects their decision making process during the in-store shopping experience (Groß, 2015).

Digitalization also alters the way consumers interact with retailers and how purchases are made. Earlier this year, Apple Pay was launched in Sweden, allowing customers to make payments with their phones instead of using physical cards. Scan-and-go services, where customers scan products with their smartphone as they shop, are also being experimented with by several retailers. Last year, 7-Eleven introduced Scan-and-go technology in select stores in the United States. Amazon is developing this concept further by removing the need for customers to scan products with their Amazon Go store concept. Customers scan the Amazon app as they enter the store, pick up their groceries and are automatically checked out as they leave the store.

Furthermore, new technologies such as virtual reality, augmented reality, artificial intelligence, drones etc. are starting to be applied to the field of retailing (Grewal et al., 2017). Artificial intelligence powered applications such as smart home devices, e.g Amazon's smart speaker Echo or Google Home, are becoming increasingly popular and the number of smart home device users is expected to grow rapidly in the upcoming years (Smith, 2018). These devices have already become an important part of retailing as they enable users to, among other things, browse items, compare prices and make purchases via voice commands.

1.3 Development of the Swedish grocery retail market

In 2017, the Swedish grocery retail market had an annual turnover of approximately SEK 281 billion (SCB, 2017). During the last decade, the annual turnover has seen growth of 78 percent which can be attributed to volume growth and price growth. The market is dominated by four players that together make up for more than 90 percent of the total

market share: Ica with 50.4 percent of the total market share, Coop with 18.2 percent, Axfood with 17.2 percent and Bergendahls with 7.5 percent (DLF, 2019).

Like most fields of retailing, digitalization has dramatically changed the landscape of the grocery retail industry, however the penetration growth of grocery e-commerce in Sweden has been significantly lower than other domains of retailing. Today, brick and mortar grocery sales constitute 98 percent of Sweden's total market share and e-commerce constitute 2 percent of the total market share (ICA, 2019). One of the major issues for grocery retailers has been the high cost associated with the complexity of the fulfilment process for fresh groceries (Aspray, Royer and Ocepek, 2013). A report by Swedish Commerce (2019) estimates that the Swedish grocery industry will grow with approximately 1 percent annually until 2025, which is well correlated with Sweden's expected population growth (SCB, 2019). During this period, e-commerce penetration for grocery retail is expected to reach between 6 to 11 percent while e-commerce market share for general retail is expected to reach somewhere between 22 to 33 percent.

However, grocery e-commerce in Sweden has recently been gaining momentum and now constitute one of the fastest growing segments online and during 2018 e-grocery sales grew with 27 percent (PostNord, 2018). In 2018 e-commerce sales amounted to approximately SEK 77 billion, which corresponds to almost 10 percent of all retail sales, and SEK 5,8 billion was attributable to online grocery retail sales.

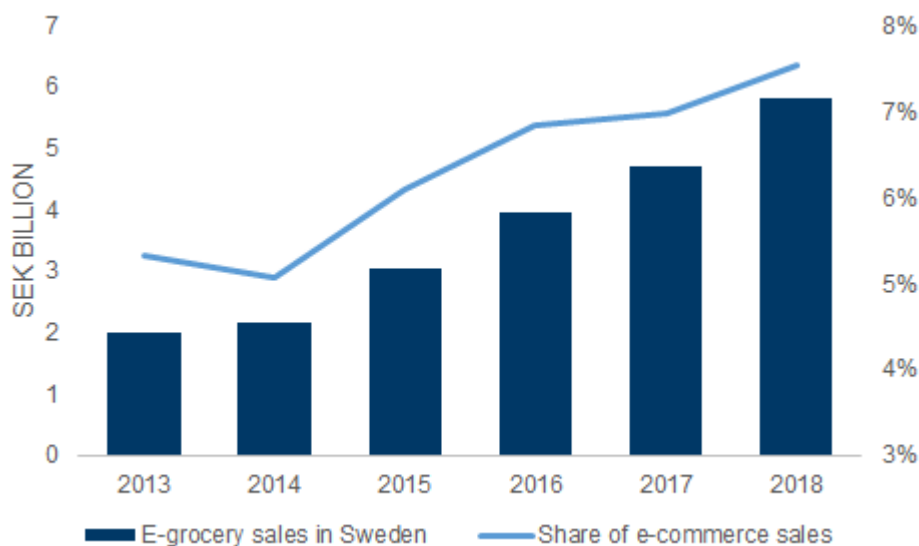


Figure 1. *Development and share of e-grocery sales in relation to total e-commerce retail sales (PostNord, 2019).*

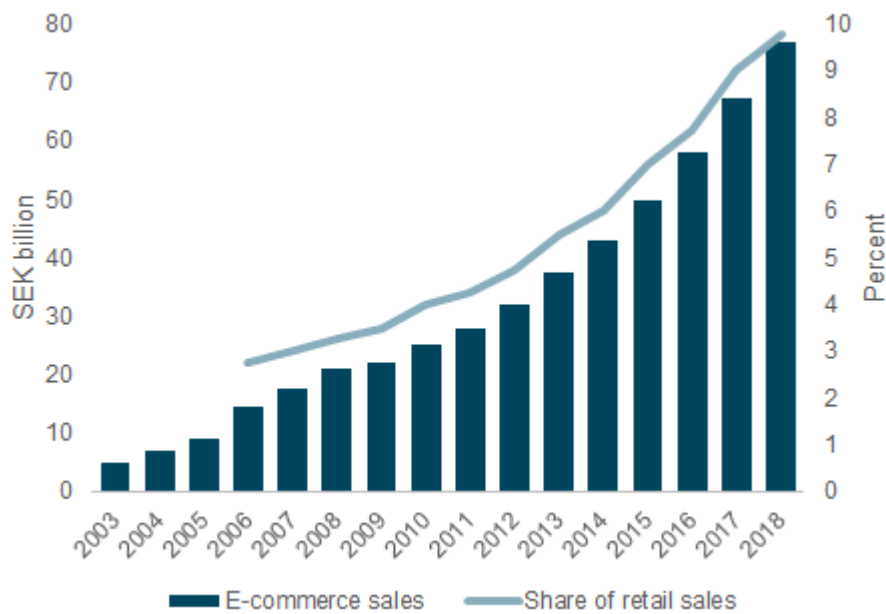


Figure 2. *Development and share of e-commerce sales in relation to total retail sales (PostNord, 2019).*

1.4 Grocery retail short term future

Online retail channels are not likely to dominate the grocery retail segment in the near future due to challenges in distribution and supply (Pan, Giannikas, Grover-Silva, and Qiao, 2017; (Mkansi, Eresia-Eke and Emmanuel-Ebikake, 2018). The logistics in online grocery retail is more complex than other retail sectors and the challenges are related to the properties of the items (e.g. relatively short shelf-life and freshness of groceries), tradeoff between quality - service delivery, and customer expectations of on-time delivery (Mkansi et al, 2018)

Looking further into grocery retail, it is of interest to understand how demographics affect the level of convenience that retailers can provide to their customers. For example, e-commerce grocery retail is generally still regarded as a non-profitable operation type that is however being carried out to provide strategic value to the business. Despite high-traffic urban areas providing good circumstances to find scale in such operations, retailers fail to achieve profitability in the online business (Dennis, 2017).

To give it a further twist, questions arise on how such operations can be justified to execute in rural areas with significantly lower logistics connectivity and transportation flows. Beckers, Cárdenas, Verhetsel (2018) discuss that it may not be accurate to assume e-grocery penetration is homogenous throughout different demographics within a country and suggest segmenting the customer base to properly understand what drives e-grocery adoption and how grocery chains can utilize that in their business. Considering that the expectations from consumers on convenience spread quickly today through social media, major retailers could be facing pressure from consumers living in rural areas to provide the same distribution solutions as other people are provided in big cities such as Stockholm and Göteborg.

Balancing operational economics with customer satisfaction can reasonably be regarded as a key topic in the field of grocery distribution.

1.5 Multi-channel

Multi-channel retailing is the process of applying multiple retail sales channels in the business model for selling similar products, to reach consumers in a way that suits them best (Basak Basu, Avittathur and Sikdar, 2017). When describing multiple channel retailing concepts like multi-, cross- and omni- channel retailing are often used to describe a retail environment where customers shop across channels. However, the terms are often used interchangeably irrespective to their differences (Beck and Rygl, 2015).

Beck and Rygl (2015) propose a systematic categorization in an effort to achieve unanimity between the conceptets. In this categorization, multi-channel retail is the practice of offering several sales channels to the customer but with the lack of interaction between channels. Customers can't trigger an interaction between two channels nor can the retailer integrate the channels. For example, a customer might not be able to pay for a product online and pick it up in-store (interaction cannot be triggered by customer) since the retailer cannot offer this service as there is no shared information flow across channels on pricing information, inventory information, etc. (retailer cannot integrate channels).

1.6 Omni-channel

Omni-channel interaction is a mutual touchpoint where the retailer and the customer interact with each other across channels, enabling services such as online-orders with physical pick-up from certain locations (Verhhoef, Kannan and Inman 2015). This interaction is not the same as multi-channel interaction, as it aims to achieve a synergy between channels where the omni-channel approach is expected to exceed the sum of value from each channel separately. Supported by enabling technology in modern society, the natural borders between channels seem to disappear and customers increasingly seek seamless experiences across all channels (Verhhoef, et al., 2015).

Customer expectations have contributed to single-channel players expanding across channels, forcing pure e-retailers to decide about opening physical stores and store-based retailers to decide upon starting selling online (Avery, Steenburgh, Deighton and Caravella, 2012). However, making sure to provide a seamless omni-channel experience is a difficult art to master as customers interact with infinite amounts of signals through mobile, online and physically. This makes it difficult for retailers to be confident about (1) what customers are facing at any given time and (2) what to present to the customer to achieve a certain outcome and (3) physically granting their wishes in a way that is operationally feasible.

To summarize the relationship between multi-channel and omni-channel customer touchpoints, it is relevant to look back at the research by Verhoef et al. (2013) where the authors define how the two strategies approach 6 different parameters: channel focus,

channel scope, separation of channels, brand versus channel customer relationships focus, channel management and objectives. See table 1 for details.

	Multi-channel management	Omni-channel management
Channel focus	Interactive channels only	Interactive and mass-communication channels
Channel scope	Retails channels: store, online website, and direct marketing (catalog)	Retail channels: store, online website, and direct marketing, mobile channels (i.e., smart phones, tablets, apps), social media (including mass communication channels: TV, radio, print, C2C, etc.)
Separation of channels	Separate channels with no overlap	Integrated channels providing seamless retail experiences
Brand versus channel customer relationship focus	Customer - Retail channel focus	Customer - Retail channel - Brand focus
Channel management	Per channel	Cross-channel
Objectives	Channel objectives (i.e. sales per channel; experience per channel)	Cross-channel objectives (i.e., overall retail customer experience, total sales over channels)

Table 1: *The different perspectives on operational parameters (Verhoef et al., 2013)*

1.7 Customer steering

The motive behind establishing multiple sales channels in retail has been to capture as much of the growing online retail segment as possible (Holzapfel, Hübner and Kuhn, 2018). However, as most major retailers have already started applying some form of multi-, cross- or omni-channels in their business model they are now exploring different strategies to leverage and focus on select channels where business value is the greatest (Chen, Cheung and Tan, 2018). Therefore, an important aspect to consider in retail today is customer steering, i.e. the possibility to influence the customer's channel choice.

By steering the customers during the shopping and fulfillment process retailers can increase profits by reducing fulfillment costs, increase revenue per customer and serve underserved markets (Wollenburg et al., 2018). Steering the customer's channel choice does not denote

that the customer is pressured into choosing a specific channel, instead a customer may be encouraged or motivated to choose a specific channel. For example, if a customer is steered into choosing a store pickup service instead of home delivery, an opportunity is revealed for cross-selling other products to the customer during their store visit.

1.8 The purpose of the study

To study challenges and levers in distribution for grocery retailers. Such insights could help chain executives in their work to form new strategies for grocery retail chains in Sweden as most of the operating chains are facing significant competitive pressure from market peers, changing distribution landscape, increasing expectations on convenience and higher customer demands.

1.9 Delimitation

The study will strictly focus on Swedish grocery retail chains. Representatives for selected store will take part in interviews for which the store must belong to a chain with both online and brick and mortar presence in the country. Only the stores belonging to the three biggest grocery chains in Sweden with regards to national market share were subject for the study.

1.10 Significance of the study

This study is important for two major parties in the market:

(1) Brick and mortar players are aware of the online threat but the perception of the threat magnitude is varying between different companies - some are allocating significant budgets to reshape their organizations and some think it is enough to set up a simple e-shop.

(2) Pure online players were for a while regarded as the future of retail but the importance of physical stores cannot be neglected. Will pure online players realize this and comply with traditional purchasing habits, or will they defy traditions and try driving a paradigm shift?

The future scenario assumed in this study is that full omni-channel retail will be the point to where most major grocery retailers converge over time. Therefore, this study aims to demonstrate for market incumbents, and successful omni-channel grocery retailers, the importance of realizing this and also highlight the challenges organizations may face in this shift and potential levers to facilitate such a shift. Several studies have looked at the challenges for e-grocers in establishing an omnichannel strategy (Weber and Badenhorst-Weiss 2018; Mkansi et al. 2018) and also the complementary strengths and weaknesses of multiple retail channels (Kuksov and Liao, 2017; Bell, Gallino and Moreno. 2018; Kalyanam and Tsay, 2013; Lal and Sarvary 1999). However, to the best of the authors' knowledge, there has not been any extensive academic research on the local Swedish grocery market which maps out the current key challenges and levers in the fulfillment process.

1.11 Research question

1. What are the current key challenges and levers in distribution as perceived by operational managers at the leading grocery retail chains in Sweden?

2 Theory

2.1 Previous studies

There is a significant transformation taking place in today's retail landscape. Retail systems are changing significantly as consumers move their shopping habits to online and mobile platforms. This has generated a lot of academic research on success characteristics for players to handle the shift from brick and mortar retail to online selling and the establishment of new sales channels.

2.1.1 Dynamics of grocery retail distribution

Campo & Breugelmans (2015) look at the characteristics that affect customers' channel selection in grocery shopping. Most online shoppers are multi-channel shoppers and they therefore investigate how consumers divide their grocery purchases between offline and online channels. They apply a framework which accounts for acquisition utility, e.g. the benefits customers receive such as promotions or product quality, and transaction utility, e.g. the benefits customers receive such as time saving delivery. They find that assortment differences, price differences, promotion differences and in-store stimuli are important drivers of channel selection, which is in-line with earlier research (Campo & Breugelmans, 2015). However, they also find that intrinsic category characteristics such as perceived purchase risk affects channel selection. For example, consumers may avoid buying fresh groceries such as vegetables and fruits online since there is greater uncertainty in product quality when they have not been able to evaluate the product themselves.

The importance of the physical shopping experience has been touched upon by several studies. Lal and Sarvary (1999) mention the ability to engage all senses during the in-store shopping experience and the ability for customers to evaluate product attributes which are non-digital.

Customers' need for an in-store evaluation has led to brick and mortar stores often being used as 'showrooms'. The notion of showrooming has been gaining increased attention both in industry discussion and in academic literature (Kuksov and Liao, 2017). Showrooming is the practice of customers browsing a retailer's physical storefront to physically examine a product and find the best-fit-model, but later purchase the product later online, from another retailer. Mehra, Kumar and Raju (2018) considers it a major threat to brick-and-mortar retailers today and argue that customer free-riding behavior may have detrimental effects on profit for brick and mortar stores if it is not dealt with appropriately.

However, 'showrooms' may be a necessary part of today's retail landscape. Chopra (2015) has looked at the complementary strengths of online and offline channels. Online and offline distribution channels have different performance characteristics in terms of cost and ability to satisfy customer needs. Therefore, a hybrid structure between them can create a distribution network which is cost-effective and responsive to customer demand. For

example, a retailer can introduce showrooms which facilitates a physical shopping experience but does not carry any inventory.

Furthermore, Bell et al. (2018) touched upon the domain by examining *online-first* retailers and the introduction of brick and mortar showrooms. They investigate if showrooms benefit and serve the two most basic retail objectives: demand generation and operational efficiency. They mainly find that showrooms: (1) increase online sales, (2) generate spillover effects to other channels, (3) increase operational efficiency by reducing returns and increasing conversions. Furthermore, they argue that physical presence, strengthens brand awareness and channel awareness. Without an in-store evaluation consumers might not have enough information to make a purchase decision, if they are already uncertain on a product's features.

According to research about the shift from multi to omni-channel business systems, Melis, Campo, Breugelmans and Lamey (2015) conclude that the first impression consumers have when they choose and interact with online grocery store is strongly influenced by their individual perception of the specific grocery chain. For example, when deciding to order groceries online for the first time, they start off with choosing among the physical grocery chains they like the most. After gaining experience and becoming an increasingly regular user in e-grocery domain, they start shifting to comparing specific e-grocery players with each other, and slowly detaching their online choices from what impressions they have had about the physical branch of the grocery chain.

The stated insights are important for incumbents to understand as they put light on what could happen to their market position as online groceries gain traction among consumers. For an example, it could be a possible strategic trap for current Swedish market leader ICA to think "we have 50% of the current market, assuming we stay strong in the market, we should have 50% of all future markets". However, if their online business is not competitive against comparable e-players, and at the same time the online penetration becomes increasingly dominant in the market, that could have a significant impact on their total grocery market share. Considering how long time it takes to go from strategic insight to execution of activity and expected outcome, not staying alert in the market could mean major harm for their long-term business.

2.1.2 Challenges and levers in grocery retail distribution

Mkansi et al. (2018) have looked at challenges related to logistical elements in the e-commerce grocery business. They conduct a multiple case-study which analyses four e-grocery retailers which are among the top ten market leaders in the e-grocery business. The authors conducted interviews with managers at strategic, tactical and operational level. The authors' rationale behind using the different levels of management is to get different perspectives on strategic planning. Strategic managers have a long term view on strategic planning and have significant impact on operational decisions. Tactical managers are responsible for executing medium-term plans for the organization and have influence over

resource allocation. Operational managers are responsible for short term planning and are involved in day-to-day operational decisions. In brick and mortar stores operational managers are in charge of running individual stores whilst an e-commerce operational manager may be in charge of daily distribution and supply, in store or at a distribution center.

The study summarize its findings in three broad categories, which are (1) challenges in managing inventory, (2) challenges in supply and demand and (3) managing roles and responsibilities. Among other things, they conclude that challenges in managing inventory are related to freshness of products, availability of products and dependence on other departments. Challenges in supply and demand are mostly related to a competitive delivery window, which was found to be notably true for all four e-grocery units. A common theme is the dilemma of balancing a short delivery window with costs as there are finite delivery vehicles that need to deliver to locations. In addition, the locations were observed to often be located far apart from each other. Challenges related to roles and responsibilities are revealed to primarily be problematic at operational level and less at strategic level. These challenges include limited staffing capacity, problems during the picking process and balancing costs with labour hours. However, the validity of the finding can be questioned as there was an unproportionate weighting towards operational managers in the sample size. There may be strategic bottlenecks which were not discovered due to lack of candidates with strategic responsibility.

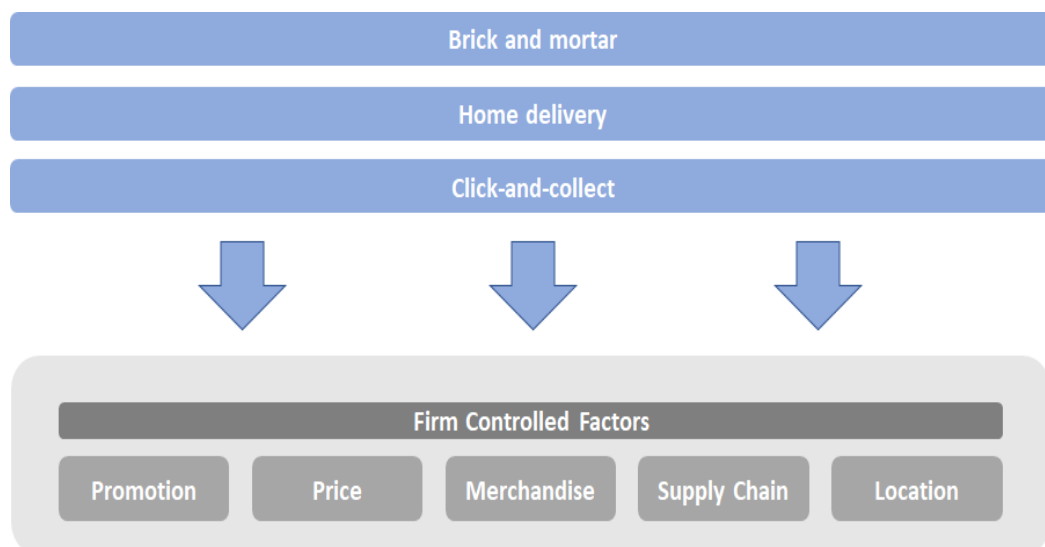
Weber and Badenhorst-Weiss (2018) look at last-mile delivery challenges which obstructs the efficiency of omni-channel grocery retailing. They conduct interviews with operational managers and consumers in South Africa, a developing market where omni-channel retailing is still at an immature stage. The study therefore takes on the perspective of challenges and barriers from both the consumers' and retailers' point of view. They identify four main logistical challenges with last-mile delivery, these challenges are fulfilment reliability with online orders, incomplete or incorrect orders, cold distribution chain requirements and physical distribution challenges.

In their study, Weber and Badenhorst-Weiss find that reliability of order fulfilment gets more complex in an omnichannel setting since the responsibility of item picking is transferred from the consumer (in a traditional retail setting) to the retailers. For example, if there is a stock-out, the retailer is responsible for picking a substitutional product on behalf of the consumer. Weber and Badenhorst-Weiss find that stock-outs resulting in incorrect or incomplete orders is the origin for most of the customer dissatisfaction with online shopping grocery shopping. They find that customers complain that the product replacement that they are given is not what they would have picked themselves because of loyalty or preference for a specific brand. Consequently, retailers need to go to great lengths to ensure that items are in-stock before customers place their orders and ensure that there is an up-to-date information flow across retail channels on inventory. Furthermore, the study finds that cold distribution requirements are tricky in last-mile delivery. From the retailers point of view, the logistics of last-mile delivery process is complex since items in the grocery basket have different

temperature requirements such as frozen, refrigerated or dry. The ‘cold-chain requirements’ creates an important need for delivery planning. The authors however find that consumers often find themselves confined to specific delivery times, which makes the delivery process difficult from the consumer perspective as well.

Gao and Su (2016) have looked at the operational impact of integrating digital channels with traditional channels, specifically investigating retailers offering customers the option to pay for products online and pick up in physical stores. They build a stylized model where the retailer operates both an offline and online channel. They find that not all products are well-suited for an omnichannel strategy. More specifically, it may not be optimal to let customers pay online for products that sell very well in stores. Items that sell well in stores draw traffic to the store which increases the possibility for the retailer to cross-sell other items to the customer, if customers see that the product is out of stock they will likely not visit the store which reduces cross-selling opportunities. Furthermore, retailers may decrease profit margins as existing customers shift to online shopping as offline retail is less cost effective. Although the burden of the last-mile delivery is placed on the customer when customers pick up their own items, BOPS (buy online and pickup in store) entails new fulfilment responsibilities such as pick-and-pack tasks in addition to serving brick and mortar store customers. Moreover, they find that there may be incentive misalignment between offline and online channels if they are operated as separate entities, therefore retailers with decentralized operations should allocate revenue between the online and offline store appropriately. Their conclusion is that although BOPS is a popular fulfilment alternative amongst customers, retailers should be wary before they choose to implement the strategy.

2.2 Theoretical framework



2.2.1 Brick and mortar

Under the traditional retail model, a brick and mortar store is a retailer that displays and sells goods from a physical setting (Li, Lu and Talebian, 2014). Given this definition, a brick and mortar retailer is therefore a retailer with a physical presence that offers a face-to-face shopping experience. The retailer may have multiple sales channels, which is often the case, and does not need to be exclusively a retailer with physical presence to fit the terminology. There are several different types of stores that fit this categorization, for example traditional department stores and grocery stores but also more modern store variants such as pop-up stores.

2.2.2 Home delivery

Home delivery is a distribution form where the retailers, either through internal resources or 3rd party services, deliver ordered groceries all the way to the customer's front door. Home deliveries has been subject to a lot of attention lately as online grocery retailers have been gaining traction, however the phenomena is not new. Home deliveries have been around for some time and they have also seen increasing and decreasing popularity over different time periods since the 1900s (Kämäräinen et al., 2001; Johnsson and Jönson 2006).

Home deliveries in general save up time as customers otherwise would have to transport to the store, shop and transport home. However, different types of home delivery require different amount of engagement from the customer side. Attended home deliveries means someone at home is required to receive the grocery bag while unattended means even more flexibility as the customers do not even need to be present at the home location. Suggestions have been proposed to facilitate unattended deliveries, e.g. with the help of reception boxes (Kämäräinen et al., 2001). A reception box is a separate unit connected to the house where the delivery personnel can place the goods and lock the box through different mechanisms, making it available to open only by the property owner.

2.2.3 Click-and-collect

One of the approaches to provide a seamless omni-channel experience is through click and collect-services. Click-and-collect enables the customer to order, return and exchange products in pre-defined physical places irrespective to if the product was ordered online, through a mobile application or in another store. The physical places could be community collection points, locker collections such as Instabox or in-store at any location of the retailer's chain of stores. This pick-up option is believed to become an important distribution method implemented in supply chain redesigns (Piotrowicz & Cuthbertson, 2015). Furthermore, a number of Swedish chain stores have expanded this offering and provide purpose-built drive-thru tracks in connection to their facilities.

2.2.4 Firm controlled factors

By providing click and collect, the retailers can provide the convenience and cost-efficient sales process that e-/mobile-commerce enables, while cutting on distribution costs at the same time as there is no need to distribute the product to a pre-defined location, e.g. to the

customer's home address. On top of that, retailers could argue that click and collect services increases the probability for spontaneous purchases, something that is believed to be much less likely in a e-shop (Postnord, 2015), because consumers are driven to the stores.

Laying out the high-level parts of the framework, there appears a deeper level that should be examined within each channel. To be able to produce sufficient insights to answer the research question, the next level of the framework focuses on so called retail drivers, aspects that relate to the operational activities carried out by the business. These retail drivers, neglecting macro factors affecting the trade landscape, can be controlled by the firm and they are the following: promotion, price, merchandise, supply chain and location (Grewal, Levy and Kumar., 2009). They are used to present a holistic view of the business and the specific ways it interacts with the customer landscape, and are defined as follows:

- Promotion focuses on activities carried out by the manufacturer and retailer to promote and improve the performance of its brands and overall operations respectively. Such promotions are often monetary savings, e.g. a manufacturer promising to absorb the loss of revenue to make sure their brand product is promoted in a specific way in the store or retailers that decide to promote the products they think will generate the highest profits for their own business
- Price is often regarded as the single most important aspect of business for retailers as it captures the financial value that has been created by surrounding operations. Too high of a price might negatively affect volumes sold, and too low of a price might leave money on the table, leading to missed out profits
- Merchandise (including brand) covers the product assortment mix and the necessary volume which is available through different distribution channels.
- Supply chain focuses on the logistic activities that lead up to a purchase, by making sure the right product is available at the right place at the right time. Avoiding supply chain related issues have proven to be important sources of competitive advantage for many retailers.
- The location topic emphasizes how retailers can maximize their success by locating each store in the best way possible. The authors also refer to a number of models that can be used to pick the best locations for the store network, both for individual stores and for franchising distribution. On top of that, some recent research also emphasize proximity to places of interest as a success factor, e.g. other stores, distribution centers or agglomeration. However, the researchers point out that the location-topic needs more research in the field.

3 Method

To address the research question, the study approaches the topic with regards to three different geographic areas: urban city area, suburb to urban area and smaller town. By choosing a range of demographics, this thesis aims to produce reliable conclusions that reflects the true dynamics in distribution channels throughout Sweden.

Qualitative data was collected through semi-structured interviews with operational grocery store managers in Sweden. The sampling group was 18 managers from three different Swedish grocery chains. There was an equal ratio of participants from each demographic categorization, however there was not an even distribution of participants from each grocery chain. All interviews were conducted over the telephone.

Interviewees were chosen by first mapping out regions within each demographic segment. For urban city areas the four largest, by population, Swedish cities were chosen. The authors contacted 18 stores and recruited 6 participants. For urban suburban areas, three suburbs to the selected large cities were chosen. The authors contacted 13 suburb to urban city area stores and recruited 6 participants. For small town stores, the authors chose five municipalities which all had a population which was well below the national average of 35,233 residents (SCB, 2019) . The authors contacted 17 smaller city stores and recruited 6 participants. In total, 48 retailers were contacted of which 18 participants were recruited.

3.1 Research perspective

The authors deemed a descriptive research approach to be appropriate in order to address the research question. Descriptive theory is suitable to explain a phenomenon or issue that exists (Collis & Hussey, 2009). Rather than answering why certain characteristics occur, the study aims to highlight “what” characteristics are there in the investigated issue, without providing any conclusive causality between observed events. The authors’ aim is to map out “what” are the key challenges and levers in grocery distribution. This study will therefore not give a conclusive conclusion to why certain issues occur nor give recommendations to how these issues should be addressed, although some of it might be lightly discussed in section 5. Discussing the root cause of the issues and attempting to establish why the phenomenon has occurred is therefore something which should instead be addressed by analytical research (Collis & Hussey, 2009).

3.2 Case study

Case studies serve as the basis for the thesis work as the topics explored focus on demographical aspects. The case studies aim to serve as an important research methodology as it will enable the thesis to explore the phenomena of shifting distribution channels in a natural setting by conducting qualitative interviews (Collis & Hussey, 2009).

Analyzing different components of the grocery value chain, the demographical aspect appeared as an important parameter to consider while shaping the case study. Different demographics were found to indicate various differences in population density, expectations

on convenience, preferred delivery styles etc. Therefore, the case study was shaped to have three demographic categories (urban city area, suburb to urban city area and smaller town).

Using case studies to perform the research provides both strengths and weaknesses to the findings. The strength of conducting case studies in a qualitative way is that it enables the authors to prevent tunnel vision, assuming that a lot of important variables are not affecting the outcome, by giving them the flexibility to see the bigger picture and adapt to it. At the same time, it means the responsibilities on the authors will increase as the semi-structured interviews will shift the data-focus to quality and depth which is expected from this kind of data collection methods. The interviews are expected to generate rich and detailed data about specific businesses, which means the following analytical process has to be rigorous. However, weaknesses follow with all good methodologies. Rooted in its own strengths, the weakness of case studies is that giving the authors the subjective power to focus their research makes the research vulnerable to personal biases and might indicate a shortage of objective data to draw generalized conclusions (Yin, 2003).

3.3 Data collection

3.3.1 Semi-structured interviews

Data collection can be done in a number of ways if the options seem more suitable. The direct data collection can be done both with group interviews and one-on-one interviews. Furthermore, if indirect collection methods are used, both observations and projective techniques could have served the authors in collecting proper research data (Malhotra & Birks, 2007).

Despite the various options, the authors decided to collect data by conducting semi-structured interviews with store managers at each grocery store that had been chosen to participate. The interviews, which are qualitative by nature, are conducted directly with the counterpart. By doing so, the authors aimed for in-depth research generating rich and elaborated data.

However, the most suitable research method depends on the context of the research and it is important to understand that there are strengths and weaknesses with all of the described methods. Engaging in a personal interview might give the authors extended tools to understand how the counterpart reasons around different topics and how they personally react to certain questions and comments. At the same time, as the interviewee is in constant observation by the interviewer, it is important for the researcher to think of how the vulnerability can affect the interviewee's decision to share sensitive information and personal opinions (Malhotra & Birks, 2007).

To further elaborate on the author's decision to use semi-structured interviews over the phone with store managers all over Sweden, the reasons can be divided into two main aspects. First of all, interviews over phone enable the authors to reach out to every single store that is operating throughout the country, in various demographics stretching from the

south to the north. By doing so, data can be quickly aggregated in several types of stores, considering city size and relative location to the city center. The second reason is that the interviewer will be able to explore the topics as they unfold and don't have to lock in the conversation into a specific subject. By doing so, the authors will be able to gain a deeper understanding of the interviewee's view on the business, distribution channels and customer convenience, both today and in the future, something that is previously known to occur in personal semi-structured interviews (Malhotra & Birks, 2007).

3.3.2 Pilot testing

As the interviewees represent a wide range of characters with different backgrounds and insight into the business, the authors decided to run a pilot testing with the interview guide to understand how store managers engage in the interview and what can be improved in the interview strategy and setup. Two pilot interviews were conducted, representing two different demographics, and the interviews provided valuable insight into how people could react in different ways to certain questions. First of all, the authors realized that the interviewees could sometimes get stuck in a mode of constant "nodding" with "yes" or "no" answers. The authors also realized that some strategic questions are not meant to be answered by store managers and therefore the authors decided to focus on typical managerial questions and topics. Following the pilot testing, some changes were done in the interview guide, however the biggest contribution was the insight itself which helped the authors lead the other interviews in a more strategic manner, more suitable for the interviewee and the research question.

3.4 Research quality

An essential part of guaranteeing the quality of research is ensuring that the research result is reliable. For a research result to be reliable, the study should be able to be repeated with minimal deviation in accuracy and precision, if the same methodology is applied (Collis & Hussey, 2009). However, in qualitative studies, replication does not need to be reliable in the same sense as quantitative results. Instead, emphasis should be on establishing protocols and procedures which enable observations, and their interpretations, to be understood by a different observer (Collis & Hussey, 2009). Reliability in qualitative research is crucially dependent on the examination of trustworthiness (Golafshani, 2003).

In order to assert reliability to an external observer, interview questions are provided in the appendix to the thesis. As this research is based on semi-structured interviews, one could argue that there is a risk for lack of reliability. However, applying the concept of reliability to qualitative research, as defined for quantitative research can be challenging (Golafshani, 2003). Instead, trustworthiness should be established by providing the relevant documentation for the observer in order to understand the process and interpretation of the observations made. Therefore, the result chapter aims to present an unfiltered aggregation of the data collected and tries to include as much quotations as possible from interviewees.

Another important core concept of quality is validity, which refers to the appropriateness of test in the sense that it measures the problem or issue which is being investigated. Validity can be measured by how accurately data is represented as intended (Collis & Hussey, 2009). In this thesis, interviews will not be recorded as it was determined as an obstacle to obtain a desired amount of participants as store managers might be afraid to reveal anything that could put their position in danger. Instead, thorough notes will be taken during the interviews, which will be carefully complemented with additional information from memory after the interview. This could arguably be considered a weakness in validity, but in order to maintain validity throughout the data gathering process there was an ongoing discussion between the authors on how data is best handled.

Generalization refers to the extent to which research findings can be applicable to cases or settings which are being studied (Collins & Hussey, 2009). Qualitative data is often not generalizable in the same way as quantitative data and sample size might be regarded as too small to conclude any ability to generalize in this research. However, as re-stated by Collins & Hussey (2009), it is possible to generalize from a few qualitative cases if the findings and analysis have captured the interactions and characteristics of the problem or issue which is being studied.

3.5 Research ethics

Different aspects of the thesis require high standards for the researchers. Among other things, while conducting the interviews, it is important to make the interviewees comfortable in their role while minimizing the risk of them being exposed with their opinions about the business. The participants should have a clear idea of what the thesis is about, what their role is in the data collection process and how the information will be used. On top of that, some participants might require to have their contributions anonymized, and they should be granted that for their contributions. Furthermore, it is important to separate the individual from the business and not expose the individuals' reasoning corporation's operational secrets to a public audience, something that is an actual threat if the interviewer does not grasp the strategic importance of the information.

3.6 Sustainability

Sustainability is an important aspect in current research around distribution systems and by all means, in this thesis. United Nations defines the term as "Sustainable development is development that meets the needs of the present without compromising the ability of future generations to meet their own needs." (1987, p. 37). To be specific, the investigated topic in this thesis is related to sustainability goals 9, 11 and 12, as defined by the United Nations for the year 2030:

- SDG 9: Industry, innovation and infrastructure
- SDG 11: Sustainable cities and communities
- SDG 12: Responsible consumption and production

Achieving the sustainability goals set by the United Nations will require co-operation across regions, countries, sectors and organizations. As the grocery value chain stretches across the globe from production to consumption, it is without a doubt an important component of modern society and likely one of the most important areas with regards to sustainable development. This fact has not been missed by the Swedish grocery retail industry. As consumers increasingly ask for sustainable options, a range of initiatives have been carried out by grocery retail chains to improve the conditions of production, supply chain and distribution. These activities contribute to sustainable economic, social and environmental improvements.

Digging deeper into the focus of this thesis which is on distribution, there are significant improvement areas to become better. Distribution is not only a highly demanding operational process, it also bears significant financial and social value for organizations that manages to improve it. However, as with other services and operations, a number of factors need to be considered to find good solutions. Often in such investments, the decision makers assess each initiative by doing a cost-benefit analysis. Some initiatives can hold great benefits, but cost a lot. And most low-cost initiatives have already been carried out, or they are simply not good enough in practice.

4 Empirical results

4.1 Interview participant overview

In the following section, store that participated in the interviews are presented. The following table describes them in short, and they are segmented according to the classification presented in section 3. All stores belong to companies with both online and offline presence.

Company	Description
Urban city area	
1	Large grocery store
2	Mid-sized grocery store
3	Mid-sized grocery store
4	Mid-sized grocery store
5	Mid-sized grocery store
6	Small-grocery store
Suburb to urban area	
7	Large grocery store
8	Large grocery store
9	Mid-sized grocery store
10	Large grocery store
11	Small grocery store
12	Small grocery store
Small town	
13	Large grocery store
14	Large grocery store
15	Small grocery store
16	Mid-sized grocery store

17	Small grocery store
18	Large grocery store

Table 2. Type of store where the interviewee works at

4.2 Empirical findings

In the following section, data collected from the interviews are presented and the results are structured according to the framework.

4.2.1 Brick and mortar

Promotions

Promotions are designed to fulfill different expectations towards customers and they have different reasons. “Ad-hoc” promotions can be used to quickly push out remaining stock with short expiration date when sales do not meet expectations. The “ad-hoc” promotions were told to be a good tool to improve stock management in stores as it quickly sells off excessive stock and they are also quite commonly used to push out typical impulse purchase products. “Ad-hoc” promotions were primarily used in the local store.

“The average Joe really appreciates products at a discount. Put a red tag on it, and it will be sold!” - Interviewee 13

Meanwhile, other campaigns are generally planned long-term in mutual agreement between the distributor (the retail store) and the supplier. Interviewees mention that most promotions are primarily driven by the supplier which absorbs the revenue loss in order to get an advantage due to increasing competition on shelf space. Such long-term campaigns are easier to coordinate across different channels, and not only focusing on the physical store in a local position. In addition, a large group of interviewees mention that some businesses primarily focus on being a “promotion store” by using lots of promotions throughout the assortment, creating an illusion of low-prices-every-day type of store. In such cases, promotions can be regarded as a strategic tool that helps the business form a niche position in its local market.

“Ordinary Swedish chains cannot price compete with small, local discount-stores. Instead we focus on providing an unmatched grocery experience!” - Interviewee 10

Price

Regarding price levels, interviewees explained that there are two main drivers of price assuming we cancel for product differences: 1) type of chain and 2) format of store. One would expect price levels to be strongly driven by whether the store is offline or online (assuming the online grocery store can achieve attractive cost structure, e.g. Amazon), but that is not the case for groceries as most grocery chains aim for homogenous pricing across channels.

In general, price levels are strongly influenced by what chain brand a store operates by. In Sweden, the two chains with the highest market shares in the grocery business also hold the

most expensive price points for products. This phenomena was told to be different from other key European markets, e.g. Germany where the market leaders were told to be the ones offering the lowest prices. Furthermore, interviewees explained that price fluctuations within a grocery chain is primarily decided by what format the store is operating. The leading chains in Sweden generally operate formats ranging between massive stores far away from the city centre providing the cheapest prices to small stores strategically placed in connection to populated neighbourhoods to provide high convenience at a higher price point. The level of convenience provided by a store was told to have a significant impact on its price levels.

In addition, online and offline price comparison services have contributed to decreasing the asymmetric information between consumers and retailers, making the price landscape more transparent across grocery store chains too. Thus, it is benefiting consumers as grocery store chains would be more eager to present competitive price levels.

“It is a weird thing that we [Swedes] prefer the expensive groceries when there are a lot cheaper options in the market. We take great pride in what we eat and today it is like a cultural thing to go to ICA for grocery shopping, despite it being one of the most expensive chains!”. - Interviewee 9

Merchandise

The range of products provided by the store was observed to be strongly related to the format of the store. Small, convenience-type stores focused on a smaller range of product types with a strong shift to average price points. Meanwhile, larger stores generally provide a much broader range covering basically all the needs of a typical family regarding groceries. In some cases such large-sized stores were also observed to try new concepts, such as ready-to-eat food courts and shop-in-shops in partnership with niche brands in other verticals, e.g. perfumes, garden tools etc.

“After a while, our managers realized they needed to localize its nation-wide chain into each own local setting in each neighbourhood or market place, that is when the formats appeared. The aim is to make customers understand what they can expect from the store by reading its name”. - Interviewee 11

Supply chain

Interviewees report that chains operate a number of distribution centers throughout the country that supply stores with products. Depending on proximity, each store is sourced by a specific centre. As is expected by economies of scale, chains operating a big network of stores have a significant advantage over independent stores that buy their products from nearby 3rd-party wholesale businesses. The economies of scale not only improve cost of purchased products, but they also give an advantage in distribution deals as they can be prioritized by the supplier if the supplier runs out of stock. Interviewees had limited insight into the incoming supply chain outside of Sweden.

Location

Location is one of the most important factors that make the difference between successful and less successful physical stores. As the typical grocery store operate by having consumers visiting them, the location parameter focuses on where the store itself is based. The choice of location often interplays with a number of other factors such as available space, the price of real estate, consumer reach, competition, supply chain and risk of “cannibalism”. However, interviewees explained that the reward of excellent location can justify investments as the store operator can expect good consumer reach, increased price points and higher customer traffic.

“Positioning brick-and-mortar stores in today’s landscape is not like what it was before. Previously you just competed with your next-door competitor in your local area, now you compete on a much bigger geographical scale. Opening stores is not only about being close to customers anymore, it has become a thing in itself. Kind of having a live ad billboard right in front of your customers”. - Interviewee 2

4.2.2 Home delivery

Promotion

Promotions across channels differed slightly but remained the same regardless of the customers’ chosen delivery method. No significant difference was observed between the geographical segmentation of the stores.

Almost all interviewees highlighted that the same promotions are used in-store and online. These promotions are typically ‘weekly promotions’. The reason for having the same promotions, according to the majority of interviewees, is to deliver a more unified customer experience across channels. One interviewee stated the following:

“We want customers to feel as if they are still shopping in our physical store even though they are shopping online” - Interviewee 4

Furthermore, some interviewees mentioned that having different promotions for home delivery and the physical store might reduce customer satisfaction. The interviewees mentioned that many customers are often somewhat aware of the promotions which are being advertised.

“We are increasingly noticing that customers expect the same promotions online as in the store. We often get calls from customers who ordered groceries online and claim that they are missing a certain promotion which they had seen earlier in the physical store” - Interviewee 15

However, minor “ad-hoc” promotions were usually not available to home delivery customers, according to the interviewees. For example, a 50 percent discount on an item with a short expiration date is not available in the online store. Most interviewees shared the common

opinion that it would be too much work to include such promotions for home delivery customers since these promotions are often limited to very few units. However, two interviewees mentioned that they used a smartphone application called Karma where they would promote such items in order to reduce waste. Both these stores were located in central Stockholm.

Price

Almost all interviewees stated that their prices were the same in the online store regardless of the chosen delivery method (the exceptions were three participants who were not sure, but assumed prices were the same). No significant difference was observed that was dependent on the geographical segmentation of the stores.

The reasons stated for having the same prices with home delivery are similar to the reasons stated for having the same promotions. For example, a few interviewees highlighted the fact that they believed customers would be dissatisfied if they were being charged differently depending on the channel they were shopping in, since they are still shopping in 'the same store'. One interviewee said the following:

"If our customers order home one litre milk for SEK 14 and come to the store the day after to see that we are actually selling milk for SEK 11 in our store, they will choose to order online elsewhere next time. They might even choose to do shopping at another physical store"- Interviewee 9

Some interviewees mentioned that they had a few times been asked by customers if their shelf prices matched online prices; and some customers would sometimes complain that certain items were more expensive for home delivery. In cases where the retailers had the same prices in all channels, this might have been an error made by the retailer or customer. Still, it does illustrate that many customers are aware of price variations across channels.

However, some interviewees stated that they wished they could charge higher prices for home delivery, or alternatively charge a higher delivery fee since they are often unprofitable. Almost all interviewees agreed that most home delivery orders are unprofitable, or at least significantly less profitable than in-store shopping or click and collect, since the order volumes are often too low. For example, the following was said regarding customers who choose home delivery:

"We would of course rather have our customers shop in our physical store rather than choosing home delivery. We lose money on most online orders" - Interviewee 1

However, most interviewees believed that customers are not willing to pay higher delivery fees and if they would raise their prices customers would choose to shop elsewhere.

Merchandise

Most interviewees stated that the product assortment was identical to the online site and store. However, some stores use distribution centers for home delivery and will therefore have difference in inventory.

A recurring theme was that stock-outs could in certain situations be problematic. Most interviewees said that stock-outs were handled by choosing substitutions. However, choosing substitutions on behalf of the customer can be problematic since the substitution might not be the same product that the customer had chosen themselves.

“One of the largest obstacles with home delivery is how to handle stock-outs, it’s always a hard decision to “guess” which product a customer will prefer to replace an item” -

Interviewee 12

Most interviewees expressed that stock-outs were one of the biggest causes for customer dissatisfaction for home delivery.

However, most interviewees mentioned that they try to solve this by giving the customer the option, before check-out, to choose if they want the store to pick a substitution for them in case of a stock-out. However, some interviewees mentioned that many customers are unaware of this, or simply just ‘click through’ without reflecting over their choice, since they, from time to time, get complaints from customers regarding an incomplete grocery basket (due to a stock-out) or the ‘wrong brand’ of an ordered item (substitution item picked by the store during stock-out).

The issue was notably prominent with meat and poultry products. Most interviewees mentioned that most customer complaints for replacement items are when they are given a replacement item for a meat or poultry product. For example, a customer might order ground beef from a specific brand which they know meet their own ethical requirements but the retailer will, unknowingly of the customer’s preferences, choose a substitutional product for ground beef which does not live up to the customer’s ethical requirements.

One interviewee mentioned that they had been discussing a solution by giving the customer more options for substitutional products than simply “yes” or “no”. For example, interviewee 7 said the following:

“We have been discussing different solutions on how to choose the right substitutional product for our customers. Customers could for example be given the option “only ecological products” or “only locally/Swedish produced meat” - Interviewee 7

Supply chain

There are two major differences in supply chain which are dependent on if the store home delivers items from a distribution center or straight from the store.

If the store delivers from a distribution center the picking and delivery process is entirely separated from the store's activity. A distribution center will serve multiple stores which are within the required area. Five of the retailers had this setup. Most of them mentioned that this was a comfortable setup since offering home delivery services is time consuming. However, this kind of setup is not available to all retailers and is dependent on if the store is located close enough to a distribution center. Three of the retailers which delivered from distribution centres were 'urban city area' stores and two were 'suburb to urban area' stores.

If the retailer chooses a distribution center solution the store (almost all stores were independent business which operated with a franchise agreement) pay a fee to the franchisor to connect their store to the distribution center. All interviewees with this setup said it was, at the moment, an expensive and unprofitable solution, however they did not disclose how the payment structure was set up (if it was a subscription fee, fee per order etc.).

Most stores handled their own picking and delivery process. With this setup, the back-end logistics of the supply chain are identical to the brick and mortar store. However, the responsibility of picking the grocery baskets and delivery is on the retailer.

Most retailers which handled their own delivery process mentioned that the picking process was a bottleneck since it at times was inefficient for the staff to walk around with picking carts while the store is filled with customers during busy hours. This could at times make it difficult, and stressful, to meet expected delivery times.

"Each day, we have several busy "shopping waves" with customer that visit our store and shop online and often these "waves" coincide. We therefore often have limited staffing capacity to serve both our online store and offline store during busy hours." - Interviewee 2

Almost all interviewees agreed that the logistics behind home deliveries are difficult for the stores to handle and the financial incentives are almost non-existing. When asked why they offer home delivery even though it is at the moment not profitable one interviewee responded with the following:

"We have several times discussed if we should remove our home delivery service but we have reached the conclusion that home-delivery will be an important part of shopping in the future, and we therefore want to be part of the development" - Interviewee 7

Location

Location was found to be dependent on if the store delivers straight from the store or if the store uses a distribution center. Which consequently varied between the different geographic segmentations.

For retailers who deliver straight from the store proximity to customers was more important than those who deliver from the distribution centers. The store's catchment area tended to

consist of the direct local area. One interviewee stated the following:

“Most of our customers that order online are the same customers who usually frequently shop at our store and live close-by. If we kept getting a lot of small orders from suburbs in Stockholm, we would have to reconsider our delivery system since we would not have the capacity to handle it, however that is not the case” - Interviewee 4

Location was less important for retailers who used distribution centers since these centers were typically located in a warehouse in the outskirts of the city, however they had a larger capacity (in terms of delivery vehicles and staffing) to deliver to further distances. One interviewee mentioned that their distribution center was located in another city several miles away.

4.2.3 Click-and-collect

Promotion

The promotions which customers receive through click and collect services are the same as the online promotions and offline promotions. No interviewee mentioned any significant effort to target advertising specifically towards click and collect customers.

However, interviewees mentioned the same kind of reasoning for having the same promotions as for home delivery, which is that it might lead to customer dissatisfaction. For example, one interviewee stated the following:

“If customers enter our store to collect their online ordered groceries and see that salmon is 50 percent off, which they just paid full price for online, they will most likely not be happy with us...” - Interviewee 14

Furthermore, most interviewees mentioned that customers often do additional shopping when they enter the store to collect their groceries. Customers may see a specific promotion in the store which they are interested in, pick up forgotten groceries or do complementary shopping. Therefore, most interviewees mentioned that they would rather have customers pick up their groceries in-store because there is an ability to cross-sell products to them and no delivery cost.

Price

No difference between item price was observed for click and collect services, however there were different approaches on how to handle the service charge for customers who wish to collect their groceries in-store.

Ten of the retailers offered a click and collect service. Three of them offered a completely free of charge pick-up, three had a mix approach (service fee during certain hours) and four of them had a fixed service fee.

The service fee was to cover the cost of packing the grocery baskets, which almost all interviewees agreed was a time consuming task and labour intensive. All of the retailers which had a free pick-up service were large grocery stores. One smaller retailer said the following:

“Some customers might ask us why we have a fee for customers to pick up there own groceries, but they often don’t reflect over the fact that the picking process is a time consuming task for our employees, and our employees don’t work for free so if we do not charge for pick-up it becomes a cost burden for the store” - Interviewee 12

Those retailers who had a service fee for certain hours said it was mostly a strategy for discouraging customers to collect their groceries at certain busy hours or when they were understaffed. For example, one retailer mentioned they had a free pickup service almost all business hours, seven days a week, except for Sundays between 17:00 – 20:00 when they have a SEK 15 pickup fee. This was because they were usually understaffed these hours.

Merchandise

Product assortment for click and collect services are consequently the same between the offline store and click and collect service. No interviewee mentioned that they had any intention of differentiating the offering for click and collect customers.

Supply chain

The supply chain for all retailers who offered a click and collect service was fairly similar, however the main feature which differed amongst retailers was the method of pickup. The backend logistics were consequently the same as the brick and mortar stores.

Some retailers offered a drive through solution for customers to pick up their groceries. This was more common with larger stores or stores located outside of urban city areas. Most shops utilized the parking garage, or parking space, with a specific location where drive-through customers would park their car and get their groceries handed to them, for example by pushing a button which would dial to the store and staff would bring out the grocery bag which would be stored in their storage.

Some retailers mentioned that they had seen increased sales when they improved the pick-up infrastructure for customers. For example, one retailer mentioned that they had recently invested in converting the back of the store to a drive-through, which had resulted in more online orders and generally great positive feedback from the customers.

Most stores in urban city areas did not have any designated delivery spot for click and collect customers. Instead, customers would tell the staff that they ordered groceries online for pick-up and the staff would get the grocery bag from their storage.

Location

Proximity to customers and route of travelling was found to be important with location for click and collect.

Most retailers mentioned that click and collect customers often live close by. Therefore, such customers might regard home delivery as unnecessary but they like the ease of ordering their groceries online. Furthermore, click and collect services enable customers who travel a specific route each day, which the store is located on, to collect their groceries when they are heading home from work, even though the store might not necessarily be located close to their home. One interviewee mentioned the following:

“Our customers who choose to collect their online ordered groceries are typically customers who live nearby or customers who pass our store when they are travelling home from work” - Interviewee 8

5 Discussion

5.1 Brick and mortar

Brick-and-mortar stores hold a specific value in consumers' shopping behavior as they market themselves by being physically visible every hour of the day, consumers know where they can be found and for quick needs, there is still no sustainable option that can satisfy an immediate need as good as near-by stores can. Looking at the theoretical framework that has served as the back-bone of this thesis, the parameters location can help explain why brick-and-mortar stores remain relevant.

The biggest threat to the brick-and-mortar market segment has been the developing delivery options that leverage technology and high web/mobile-penetration among consumers to provide improved convenience to shoppers. However, e-groceries have not been able to fully penetrate the market, indicating that brick-and-mortar stores still provide a value that cannot be substituted that easily. As mentioned by Lal and Sarvary (1999), an in-store shopping experience is able to engage all senses and provides consumers an opportunity to evaluate what they are buying. Giving consumers a full-sense experience with high convenience when they are looking for a quick evening snack at a near-by grocery store or providing families the opportunity to spend family-time together during weekly grocery shopping sessions, sheds light on people's social habits and elaborates on the fact that grocery shopping is not only about bringing home food, but instead is an experience reaching beyond the simple desire to satisfy hunger. These findings could be one of many factors explaining why brick-and-mortar stores have managed to stay alive in a competitive market landscape.

Furthermore, the supply chain parameter helps explain why the brick-and-mortar penetration has remained dominant. As investments are forward-looking, investors aim to see the possibility to return positive cash flow following an investment. If managers believe a certain business will find difficulties achieving this and that the business has no place in the future, that business will lose its value. A number of interviewees report online stores find it difficult to achieve profitability as groceries have not been able to reach the same cost structure as for other highly profitable e-commerces, e.g. niche apparel and low-cost home products. Highlighting the conclusions of Mkansi et al. (2018), challenges in e-grocery operations have made it more difficult to achieve profitability in the online business segment. Inevitably, this affects the investment thesis which investors and chain executives have to believe in, in order to make a bet on e-groceries, and therefore a slow-down in e-grocery penetration becomes reasonable.

5.2 Home delivery

Based on the results there seems to be an active effort from retailers to move towards an omnichannel offering where the border between different channels is less apparent. For example, this is apparent in pricing and promotional strategy where the interviewees refer to customers shopping in "the same store" when they are shopping in the online store and physical store. Retailers could potentially position themselves differently online since price

and promotion competition is more fierce, but they actively choose to keep a unanimous offering to strengthen the link between the online and offline store.

The results indicate that customers today are well informed and are aware of variations between channels, and would likely react negatively towards variations which affect them negatively depending on their choice of shopping channel. This is supported by Groß (2015) as customers use their smartphones, or other devices, to evaluate, amongst other things, prices or promotions and make purchasing decisions accordingly. Furthermore, most online shoppers shop across multiple channels (Campo & Breugelmans, 2015) and will therefore likely notice larger variations which affect them negatively.

An important finding, which was found to be true for almost all interviewed retailers, is that there is a challenge in managing and sharing precise inventory information across channels. This causes stock-outs to be problematic since home delivery customers might order home items which are actually not available. Most interviewees mentioned that stock-outs are a big cause for customer dissatisfaction, which confirms Weber and Badenhorst-Weiss (2018) finding that home delivery is complicated by the fact that the responsibility of item picking is handed to the retailer instead of the consumer. In addition, stock-outs pose a challenge for home delivery since customers will weigh in perceived purchase risk in their channel selection (Campo & Breugelmans, 2015). This may cause customers to refrain from online orders if there is a chance that their order is delivered incomplete or incorrect due to a stock-out.

Furthermore, many interviewees refer to home delivery as being labour intensive and often hard to manage during busy hours.

This is in line with Mkansi et al., (2018) finding that challenges with logistical elements of home delivery are often related to limited staffing capacity. There is a tradeoff between balancing costs and labour hours. During certain busy hour there is a need for additional labour to handle orders from the online store and serve customers in the brick and mortar store. However, during non-busy hours there is not a need for additional staffing and the retailer will therefore most likely refrain from incurring additional labour cost to only cover for certain busy hours. In addition, local retailers who distribute goods themselves have limited delivery capacity which reduces the time slot flexibility for customers.

5.3 Click and collect

New delivery options have pushed consumers' expectations on convenience and click-and-collect has appeared as a popular choice of delivery in the grocery market. Click-and-collect can be regarded as an improved compromise regarding operations in the commercial range between brick-and-mortar and home delivery.

Looking at the supply chain parameter, click-and-collect delivery method enables consumers to avoid the hassle that appears when a logistics party is meant to deliver a package of fresh goods to the consumer's home. Such hassle includes finding suitable time slots that work for the delivering party and the receiving party. Instead, the consumer is able to pick-up the

package whenever they feel like at a near-by store. At the same time, the grocery store is relieved from the operational pain of executing last-mile delivery to their customers as they also avoid the external cold-chain requirements that they have to fulfill in the delivery window between the warehouse and the receiving location. In operations, that means significant cost-cuts and a chain of operations that is somewhat relieved from burden. However, the store is responsible of assembling the package which means an operational burden that might require valuable resources to only focus on assembling delivery packages. Furthermore, as the responsibility to assemble is given to the stores, the dilemma of substituting out-of-stock products appear again as an operational headache that has to be solved by the store. This hypothetical problem relates back to the conclusions of Weber and Badenhorst-Weiss (2018) in their study surrounding last-mile delivery challenges.

Providing click-and-collect services benefit the consumers regarding accessibility and location as they can easily submit a pre-determined order through web/mobile services and enjoy it being assembled independently by the store. However, the consumer will need to arrive at the store to pick up the package. To make it worthwhile for the consumer, most likely the consumer must find great value in avoiding the traditional store picking experience and the hassle around home delivery time slot scheduling.

6 Conclusion

6.1 What are the current key challenges and levers in distribution as perceived by operational managers at the leading grocery retail chains in Sweden?

The challenges facing brick and mortar stores are several. Based on the stores participating in the conducted interviews, pricing and promotion transparency across retailers, store location distribution and supply chain performance are observed as main challenges. These challenges affect the store in different ways depending on the demographics it is exposed to. Pricing and promotions would be less of a challenge in a cut off society with limited competition while the supply chain performance becomes an inevitable struggle in that case. In contrast, chain stores located in urban city centres generally enjoy somewhat relieved supply chain operations, however facing bigger challenges in competition through pricing and promotions.

The levers presented to brick and mortar stores are primarily derived from the store itself and the in-door experience it can provide to consumers. The ability to engage all of the consumers' senses, the inevitable marketing due to store locations everywhere you go, growing features such as ready-to-eat food and shop-in-shops, and most of all, being an already cemented part of consumers everyday social habits present a number of opportunities for brick and mortars to preserve and increase its share of the market compared to other distribution options.

Challenges with home delivery were found to be associated with challenges in managing stock-outs, balancing labor hours with costs and profitability. Retailers cannot ensure that online stock information fully reflects actual available stock on hand, which may cause customers to purchase goods that are not available. Consequently, retailers need to make a decision for a replacement item on behalf of the customer which may not be in line with the customer's preferences. This may increase the perceived purchase risk of home delivery which may steer customers to other channels. Furthermore, retailers struggle with managing fluctuations in store visitors/purchases in the online and offline store simultaneously. Retailers are unwilling to incur additional labor costs to cover peak hours since fluctuations are at times unpredictable which may lead to over staffing during non-peak hours. Additionally, last mile logistics are operationally challenging for local retailers with limited staffing and delivery capacity.

Even though home delivery may be unprofitable and operationally challenging for retailers, it creates an opportunity for retailers to strategically position themselves in favor of the overall direction which the industry is heading towards. Furthermore, centralized distribution may solve some of the operational challenges retailers face, e.g. stock-out related issues since they can hold larger stock and staffing capacity issues as stores are relieved from packing and last-mile delivery responsibility. This reveals an opportunity for retailers as they can reach a larger customer base and have the operational capacity to serve these customers.

Likewise, click and collect challenges were observed to be related to the operational burden of picking and packaging goods for customers and replacing stocked-out items on behalf of customers. Furthermore, some retailers lack the proper in-store infrastructure to make click and collect services efficient, but are unwilling to invest since they do not see enough potential in the service, resulting in a moment 22-scenario. However, retailers who made infrastructural investments reported increased sales as a result.

Nonetheless, retailers prefer click and collect over home delivery since they are relieved from the last-mile delivery responsibility and cost associated with home delivery. Furthermore, retailers see an opportunity in cross-selling products to customers who collect their groceries in-store. However, a majority of relevant retailers acknowledge that they have not fully capitalised on this opportunity.

6.2 Limitations

This study primarily focuses on qualitative data collected during interviews with local store managers. Following the interviews, the authors realized the collected data was somewhat limited as it only covers the problems from the purely operational aspect. A potential improvement in the methodology is to also highlight the beforementioned commercial issues from the viewpoint of higher managers and executives to get a broader view, stretching from operational to strategic reflections on the status of distribution channels. Higher management might be able to aggregate individual performances throughout the store network to a more unified view. By doing so, the research would be able to get a comprehensive understanding of how the chain's store network is performing and the related challenges and levers instead of only relying on single data points from individual stores.

Furthermore, as the study was conducted based on qualitative research, the authors have made interpretations that could be difficult to replicate by other research groups. The authors might have been affected by biases that could affect the interpretation of the collected data during interviews despite efforts to be fully systematic and objective.

6.3 Suggestions on future research

This thesis has worked to shed light on the status of current distribution channels from the supply side. To see the other half of the coin, future research is suggested to look at the topic from the demand side, i.e. by collecting the customers' reflections on the highlighted issues. Among different questions, such a study could focus on what customers think are the weaknesses, strengths, challenges, and opportunities in grocery retail distribution channels.

In contrast to the qualitative research that was conducted in this study, suggestions for future research is to conduct a quantitative study shaped in a way that can possibly confirm or reject the conclusions from this study. For example, such a study could be done by sending out structured surveys to the store representatives to collect quantitative data instead of qualitative data. By doing so, such a study could be less vulnerable to potential biases held by the authors as there is less room for subjective interpretation which is a risk when analyzing and synthesising qualitative data.

Finally, the last suggestion for future research is to focus on another country or region to understand whether the conclusions from this study is specific to Sweden or observed in other countries as well. By broadening the geographical focus, it will be easier to comment whether the conclusions point at a global trend across different markets.

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Appendix

Semi-structured interview Guide

Part 1: Introduction and background

- Purpose of interview is explained and ask for consent for the use of anonymized information
- What is your role in the store?
- How long have you been working in your current role?
- How large is the store?
 - Revenue/number of repeat visitors
 - Number of unique products offered

Part 2: Operational insights

- Which channels do your customers use the most?
 - Brick and mortar
 - Home delivery
 - Click and collect
- If home delivery:
 - Who manages that?
 - What area do your deliveries cover and where do you keep stock for that?
- What are the main challenges with each distribution channel?
- How do you manage your operations across channels? E.g. pricing, assortment, logistics and campaigns
- Which channels do you prefer customers use?
 - Brick and mortar
 - Click and collect
 - Home delivery
- How do you manage customer expectations when purchasing is separated from delivery, e.g. products that been sold in the website but that actually were out of stock?

Part 3: Concluding questions

- What is your personal opinion on the short-term future of different distribution methods?
- Would you like to add something?

